Louisa County Water Authority
Board of Directors
August 9, 2023

MEMBERS PRESENT: Mr. Judson Foster, Chairman; Mr. Bob Hardy; Mr. David Kies; Mr. Robert Morgan; Mr. Tom Filer (*arrived at 6:06 pm*); Mr. Byron Wilson (*arrived at 6:16 pm*)

MEMBERS ABSENT: Mr. Douglas Smith, Vice-Chairman

OTHERS PRESENT: Ms. Pam Baughman, General Manager; Mr. Andy Wade, Economic Development Director; Mr. Kyle Eldridge, Assistant County Attorney; Mr. Hunter Martin, Water Operations Manager; Mr. Cody Langridge, Deputy Water Operations Manager; Mr. Mike Dunivan Maintenance Supervisor

Chairman Foster called the meeting to order at 6:04 pm.

A. <u>Call to Order</u>

1. ADOPTION OF THE AGENDA

Mr. Foster asked if there were any changes or additions to the agenda. Hearing none, Mr. Kies made a motion to adopt the agenda as presented. The motion was seconded by Mr. Morgan and carried 4-0 among the members present.

B. <u>Closed Session</u>

2. Closed Session pursuant to Va. Code Section 2.2-3711(A)(5) to discuss a prospective business in the Cuckoo District and the Mineral District where no previous announcement has been made of the business's interest in locating in the County.

3. Closed Session pursuant to Va. Code Section 2.2-3711(A)(3) Discussion or consideration of the acquisition of real property for a public purpose, or of the disposition of publicly held real property, where discussion in an open meeting would adversely affect the bargaining position or negotiating strategy of the public body.

4. Closed Session pursuant to Va. Code Section 2.2-3711(A)(7) Consultation with legal counsel and briefings by staff members or consultants pertaining to actual or probable litigation, where such consultation or briefing in open meeting would adversely affect the negotiating or litigating posture of the public body.

5. Closed Session pursuant to Va. Code Section 2.2-3711(A)(1) to discuss and consider personnel matters; including the discipline, appointment, assignment, performance and salaries of specific appointees and employees.

Mr. Hardy made a motion to close the regular open meeting and immediately reconvene in executive closed session for the discussion of a prospective business in the Cuckoo District and the Mineral District where no previous announcement has been made of the business's intent in locating to the County; for discussion or consideration of the acquisition of real property for a public purpose, or of the disposition of publicly held real property, where discussion in an open meeting would adversely affect the bargaining position or negotiating strategy of the public body, and consultation with legal counsel and briefings by staff members or consultants pertaining to actual or probable litigation, where such consultation or briefing in open meeting would adversely affect the negotiating or litigation posture of the public body; and to discuss and consider personnel matters; including the discipline, appointment, assignment, performance and salaries of specific appointees and employees. The motion was seconded by Mr. Kies and carried 4-0 among the members present.

Mr. Filer arrived at 6:06 pm

Mr. Wilson arrived at 6:16 pm

RETURN TO OPEN MEETING:

Chairman Foster closed the closed session and immediately reconvened in regular open meeting at 7:15 pm.

CERTIFY:

Mr. Foster read the following statement prior to the vote to certify the closed session.

"Pam will now poll members to certify that, to the best of your knowledge, only public business matters lawfully exempted from the open meeting requirements under the Virginia Freedom of Information Act, and as identified in the motion for which the closed meeting was convened, were discussed, and considered by the Board. If any member believes that the Board varied from the purpose stated for the closed meeting, please state so and the reason prior to casting the vote." A roll call vote was requested with the following results:

Mr. Foster	YES
Mr. Smith	ABSENT
Mr. Filer	YES
Mr. Hardy	YES
Mr. Kies	YES
Mr. Morgan	YES
Mr. Wilson	YES

The motion was carried 6-0 among the members present.

Mr. Filer made a motion to amend the agenda with item 19.1 – renovation contract. The motion was seconded by Mr. Kies and carried 6-0 among the members present.

C. Presentations

D. Citizen Information

E. Consent Agenda

6. APPROVAL OF THE MINUTES:

A. JULY 12, 2023 – REGULAR BUSINESS MEETING

7. TREASURER'S REPORT:

A. O & M REPORT / CAPITAL REVENUE & EXPENDITURE REPORT – JULY 2023
B. APPROVAL OF DISBURSEMENTS – JULY 2023
C. CONSTRUCTION FUND – JULY 2023

The Board reviewed the Consent Agenda,iIncluding the Treasurer's Report. Upon completion of the review, Mr. Filer made a motion to approve the Consent Agenda and Treasurer's Report. The motion was seconded by Mr. Kies and carried 6-0 among the members present.

F. Old Business

8. UPDATE – JAMES RIVER WATER PROJECT

At the August 9, 2023, James River Water Authority meeting the following update was provided:

- The Department of Environmental Quality provided the draft permit to the JRWA Board for review and comments.
- There were a few (1/2 dozen or so) issues and additional information was requested from DEQ.
- The issues have been resolved with the 15-year permit and the revised draft permit was received on Monday, August 7, 2023.
- The next step is the Public Notice, Public Comment Period and the finalized position.

There was a lot of discussion around the cost of the project. Items discussed are as follows:

- The maximum cost of the project is currently being estimated at $39.687 million for design and construction.
- Additional project costs for permitting, railroad crossings, construction administration, Phase III cultural resources work, etc. is being estimated at $5.9 million.
- Currently, there is a $4 million balance in funds to be borrowed from the original loan.
- The RFP for the Phase III cultural resources work closes August 15, 2023.
- The JRWA, Fluvanna County and Louisa County are not happy with the costs but feel there are not a lot of options.
- The market escalation is being driven by the number of jobs currently ongoing and the continuous supply chain issues.
- There is a lot of uncertainty of when items will be received once the orders have been placed.

9. NORTHEAST CREEK WATER TREATMENT PLANT – NECWTP SEDIMENTATION BASINS IMPROVEMENT (SLUDGE-VAC-SYSTEM UPDATE)

A. FUNDING REQUESTED

The General Manager requested the FY2024 Funding for the project in the amount of $250,000 from Louisa County on July 14, 2023. It was approved at the August 7, 2023, Louisa County Board of Supervisors meeting. The total funding requested and received from the County is $700,000.

B. BID TABULATION

Bids were received on August 1, 2023. The bid tabulation is as follows:

MEB General Contractors, Inc. $ 1,347,000.00
Southwood Building Systems, Inc. $ 1,385,000.00
Waco, Inc. $ 996,400.00

The Board discussed the bids received for the Northeast Creek Basin Improvements (Sludge-Vac System). Upon completion of the review, Mr. Filer made a motion to proceed with the apparent low-bidder and request additional funding from the County needed to fully fund the project in the FY2025 budget cycle. The motion died due to not being seconded.

Further discussion ensued. Mr. Hardy made a motion to proceed with the apparent low bidder, directed the General Manager to work with the procurement officer to ensure the bid documents are sound and request the additional funding from the County needed to fully fund the project in the FY 2025 budget cycle. The motion died due to not being seconded.

The General Manager was directed to provide an update on the standing of the bid documents at the September meeting.

10. ZION CROSSROADS WELL SYSTEM UPDATES

The project is again moving forward. Once the engineer approves the submittals for the project the interior plumbing materials will be ordered. Staff continue to work with the Procurement Officer to develop an RFP for pipe fitters.

11. REGIONAL OPTIMIZATION AND PROCESS OPERATIONS STUDY

The draft document has been received and staff continues to decipher the information. The next step will be a meeting to discuss the sample results and steps forward. Wes Basore has agreed to provide a review of the draft Optimization and Process Operations Study, to ensure all the work contracted for has been completed and that staff understand steps forward.

12. ZION CROSSROADS WWTP DIESEL TANK ADDITION FOR GENERATOR

The project is complete except for one item. Staff continue to work with the contractor to correct a safety feature that causes diesel fuel to overflow when the tank is being filled.

Mr. Filer suggested having the backflow preventor and air vent checked.

13. UPDATE – LAKE ANNA ENVIRONMENTAL WWTP

A. LAKE ANNA WWTP – WELL #1

The drawdown test, sampling and total dynamic head pressure determination will take place the week of August 21, 2023.

B. DIVER REPAIR AND INSPECTION

The repairs and inspection of the effluent line are complete. Work continued the application, approval process and placement of the buoys.

C. FUNDING REQUEST

The General Manager requested an additional $100,000 to complete repair projects at the New Bridge water and sewer facilities. At the August 8, 2023, Board of Supervisors meeting, the funding request was approved.

D. REVENUE / EXPENDITURE BREAKDOWN

The Board reviewed the revenue / expenditure breakdown provided in the agenda packet.

Staff have discovered a hole in one of the lagoon liners. The level has been pumped down to allow staff access to repair.

Late this week or early next week the grinder pumps in the pump station will be replaced.

Some electrical work will need to be completed to enable staff to get extension cords picked up and put away.

E. FACILITY NAME CHANGE

Staff decided to propose a name change to the regulatory agencies, as a way of rebranding the image of the Lake Anna System. The Department of Environmental Quality has already made the change. The Virginia Department of Health – Office of Drinking Water has requested some additional paperwork.

Staff is working on replacing blowers at the New Bridge System to improve treatment reliability. The old blowers have been repaired, but continue to breakdown, throw belts, etc.

14. UPDATE – CLEARWELL ROOF / BASEMENT FLOOR DRAINAGE

The flooring material was delivered on August 1, 2023. A date has not been received for the application of the flooring material.

15. UPDATE – NANOFILTRATION GRATING EVALUATION / UPGRADE TO ACCESS / PALLET JACK

The pallet jack has been ordered; once received this project will be completed.

16. WATER SUPPLY EMERGENCY ORDINANCE

A. PROPOSED RATE SETTING NOTICE
B. RAW WATER RATE

The Board was informed that the raw water rate set for ODEC can be changed per the contract. The General Manager advised setting an advertised rate for raw water sales.

The Board made some changes to the draft Public Notice and asked to table further discussion to the September 2023 meeting.

17. LEAD SERVICE LINE INVENTORY

The Board was informed that the administrative work for the Ferncliff Well System and the New Bridge System has been completed.

18. NORTHEAST CREEK DAM (SOUTH ANNA DAM #22)

The General Manager advised the Board that the paperwork for the Northeast Creek Dam NRCS funding application has been received and will be completed in the coming weeks.

19. PROPOSAL – ADDITION OF WATER TO ST. FRANCIS AND LAGOON PUMP STATIONS

The Board reviewed the revised proposals for water to be installed at the St. Francis and Lagoon Pump Stations. The General Manager proposed completing one of the connections and to use the sewer m/m funds to pay the costs.

The Board discussed alternatives such as drilling a well, having a trailer with a tank to carry water on, etc.

Upon completion of the discussion, Mr. Wilson made a motion to authorize the water connection to the St. Francis pump station. The motion was seconded by Mr. Morgan and carried 5-1 among the members present (Mr. Filer voted against the motion).

19.1 Renovation Contract

Mr. Hardy made a motion to authorize the Loudin Building Systems bid for renovations and addition to the Louisa County Water Authority Business Office. The motion was seconded by Mr. Wilson and carried 6-0 among the members present.

G. New Business

20. FOURTH QUARTER REPORTS

A. FOURTH QUARTER SUMMARY STATEMENT OF REVENUE
B. FOURTH QUARTER DETAILED STATEMENT OF REVENUE
C. FOURTH QUARTER SUMMARY STATEMENT OF EXPENSES
D. FOURTH QUARTER DETAILED STATEMENT OF EXPENSES
E. INVESTMENTS
F. REGIONAL SEWER EXPENSES & REVENUE
G. NORTHEAST CREEK: PAID CONNECTION FEES AND ALLOCATIONS
H. ZION CROSSROADS: PAID CONNECTION FEES AND ALLOCATIONS

The Board reviewed the Fourth Quarter Statements. Upon completion of the review, Mr. Filer made a motion to approve the Fourth Quarter Statements as presented. The motion was seconded by Mr. Hardy and carried 6-0 among the members present.

21. ZION CROSSROADS WWTP – SERVICE AND REPAIR TO THE CENTRIFUGE (ESTIMATE)

The General Manager informed the Board that the service and repair work to the Zion Crossroads Wastewater Treatment Plant Centrifuge was authorized as a sole source procurement. The only action needed is Board approval for the expenditure.

Upon completion of the discussion, Mr. Filer made a motion to approve the expenditure. The motion was seconded by Mr. Morgan and carried 6-0 among the members present.

22. REPLACEMENT COPIER

The General Manager informed the Board that for the past eight to twelve months parts to fix the current BizHub have been difficult for the copy services provider, COECO, to find. During one billing cycle, staff had to take the water bills to the County to be printed.

The Board reviewed two proposals to replace the copier. One is for a BizHub 360 under the state contract for $7,434.28 the second is through our current copy services provider for a BizHub 300 not under the state contract for $8,581.65. The state contract copy costs are lower for both black and white and colored copies.

Upon completion of the review, Mr. Hardy made a motion to proceed with the replacement of the copier through the state contract at a cost of $7,434.28. The motion was seconded by Mr. Kies and carried 6-0 among the members present.

H. Reports

I. General Manager's Report

● **July levels**: At the end of July the static well levels are down approximately 4.1 feet from the end of June 2023 levels. From July 2022 to July 2023, the well levels are up approximately 3.9 feet.

The smaller table shows static well levels located nearer to the production wells. These levels are down approximately 9.1 feet from the end of June 2023 levels. From July 2022 to July 2023, the well levels are up approximately 15.3 feet.

As of August 3, 2023, the Department of Environmental Quality Drought website is indicating normal conditions exist for groundwater, streamflow, precipitation and reservoir levels.

● Bio-Cat sampling will begin the week of August 21, 2023.

● Settlement for the additional office space took place on August 3, 2023. We received the keys on Friday, August 5, 2023.

● Paisley-Kerr will be onsite this week to look at the site before proceeding with the French drain/trench project.

● Staff continues to work on lightning strike related repairs at the LRWWTP and ZCWWTP.

● A high-service pump at the NEC-WTP need to have the Ross valve rebuilt. Staff will make the repairs once the floor sloping is complete to prevent soaking the floor with water.

● Finished water PFAS samples have been collected. The results have not been received.

● The General Manager pointed out the Letter of Commendation for Michelle Coffey from Mrs. Marjorie A. Adams.

● The current past-due listing is down to $8,919.24 from the past-due listing provided in the General Manager's Report, which reported the past-due balance of $11,285.79.

J. Committees

PERSONNEL COMMITTEE – Scheduled to meet again on September 6, 2023. Mary Johnson is scheduled to have the draft Employee Handbook to Danielle and Pam by August 30, 2023.

K. Short Notice Items

Next meeting date - The next business meeting is scheduled for September 13, 2023

L. Adjournment

THERE BEING NO FURTHER BUSINESS, Mr. Wilson made a motion to adjourn at 8:15 pm. The motion was seconded by Mr. Kies and carried 6-0 among the members present.

BY ORDER OF:

Judson Foster
Chairman
LOUISA COUNTY WATER AUTHORITY